

		The general demurrer to the Plaintiff's third cause of action is therefore sustained. Accordingly, the court need not reach the demurrer for uncertainty.
8.	2025-1505314 Davenport vs. Akua Behavioral Health, Inc.	Defendant Akua Behavioral Health, Inc.'s motion to compel plaintiff Molly Davenport to arbitrate her claims in this action is denied. <u>Facts</u> <i>Plaintiff's Complaint</i> For her sexual harassment claim, Plaintiff alleges she was employed by Defendant as a case manager until she was promoted to program manager at an understaffed and disorganized program. Her requests for support were denied and Plaintiff suffered stress and health consequences requiring a medical leave. [First Amended Complaint ("FAC" – ROA #16), ¶¶ 9-17.] Upon Plaintiff's return, Defendant's vice president, Piyush Saluja began a romantic relationship with a new hire, Annalise Poe. As a result of this relationship, Poe was promoted to associate clinical director though she was unqualified. [FAC, ¶ 18.] At least two AKUA employees submitted written complaints to management and/or Human Resources regarding the inappropriate personal relationship between SALUJA and POE and the preferential treatment POE was receiving as a result of sexual favoritism. Within days of submitting their complaints, both employees that complained were terminated under the pretext of a "company-wide layoff." Plaintiff alleges these terminations were retaliatory and intended to suppress further reports or investigations into Saluja's and Poe's conduct. [FAC, ¶ 21.] These retaliatory terminations and Defendant's failure to investigate or correct the misconduct fostered an environment where employees reasonably believed that reporting or opposing the sexual favoritism between Saluja and Poe, which affected multiple employees, would result in punishment for those employees reporting the misconduct. [FAC, ¶ 34.] On 2/4/25, Plaintiff was informed by Saluja of a proposed Performance Improvement Plan (PIP), despite having no history of disciplinary issues. Management later offered to re-label it as a Performance Enhancement Plan (PEP), while also suggesting a demotion. Plaintiff voiced her readiness to meet all objectives but raised concerns about the process and intent of the Performance Enhancement Plan, suggesting that it was intended to punish Plaintiff and move her aside to clear the way for POE's advancement. Despite her cooperation, her name was removed from team spreadsheets and Human Resources issued threats of administrative action for Plaintiff not signing the Performance

Enhancement Plan. [FAC, ¶¶ 22, 23.] This abrupt action appeared intended to harass and intimidate Plaintiff into compliance and to discourage her from speaking out against the company and protesting the favoritism toward Poe. [FAC, ¶ 31.]

On 2/19/25, Plaintiff was abruptly terminated without prior warning. Defendant's owner delivered the news and stated he could not discuss Plaintiff's termination any further due to legal guidance. No prior complaints about Plaintiff's performance had been communicated to her and the termination appeared to be retaliatory. [FAC, ¶ 25.]

Plaintiff was subjected to a hostile work environment as defined in CACI 2521C when she was instructed to train Poe, who was engaged in a sexual relationship with Akua's Vice President, Saluja, on how to perform Plaintiff's own job responsibilities, despite Poe's lack of qualifications and minimal experience with the company. This directive, combined with POE's recent promotion, caused Plaintiff to fear for the security of her own position. Plaintiff is informed and believes that she was terminated, in part, due to the sexual favoritism exhibited by Saluja toward Poe. [FAC, ¶ 33.]

The combination of sexual favoritism, retaliatory terminations, and Defendant's failure to act made the harassment and hostility severe and pervasive throughout the workplace. This conduct unreasonably interfered with Plaintiff's work performance and created a work environment that was intimidating, oppressive, and abusive within the meaning of Government Code §12940(j). [FAC, ¶ 35.]

The Arbitration Agreement

In connection with her employment Plaintiff signed an arbitration agreement. [Gorden Decl. (ROA #31), ¶ 7; Motion MPA, Ex. A.]

The arbitration agreement applies to any dispute arising out of the employment relationship, though it expressly carves out claims under H.R. 4445 (Ending Forced Arbitration of Sexual Assault and Sexual Harassment Act of 2021) for sexual harassment and sexual assault claim brought under federal, tribal, or state law. [Arbitration Agreement (Ex. A), ¶¶ 1, 2.] The arbitration agreement is governed by the Federal Arbitration Act ("FAA"). [*Id.*, ¶ 11.]

Legal Standard

Code Civ. Proc. § 1281.2 provides, *inter alia*:

"On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party thereto refuses to arbitrate such controversy, the court shall order the petitioner and the respondent to arbitrate the controversy

if it determines that an agreement to arbitrate the controversy exists, unless it determines that:

- (a) The right to compel arbitration has been waived by the petitioner; or
- (b) Grounds exist for rescission of the agreement.
- (c) A party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact. ...”

(Emphasis added.)

“[W]hen a petition to compel arbitration is filed and accompanied by prima facie evidence of a written agreement to arbitrate the controversy, the court itself must determine whether the agreement exists and, if any defense to its enforcement is raised, whether it is enforceable. Because the existence of the agreement is a statutory prerequisite to granting the petition, the petitioner bears the burden of proving its existence by a preponderance of the evidence. If the party opposing the petition raises a defense to enforcement--either fraud in the execution voiding the agreement, or a statutory defense of waiver or revocation (*see* § 1281.2, subds. (a), (b))--that party bears the burden of producing evidence of, and proving by a preponderance of the evidence, any fact necessary to the defense.” *Hotels Nevada v. L.A. Pacific Center, Inc.* (2006) 144 Cal. App. 4th 754, 761, quoting *Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal. 4th 394, 413.

While there is a policy in favor of arbitration and doubts are to be resolved in favor of arbitration, there is no public policy in favor of compelling persons to accept arbitration of controversies they have not agreed to arbitrate. *Victoria v. Superior Court* (1985) 40 Cal.3d 734, 739; *Mitri v. Arnel Management Co.* (2007) 157 Cal. App. 4th at 1170; *Greenspan v. LADT, LLC*. (2010) 185 Cal. App. 4th 1413, 1437. As a general rule, a party cannot be compelled to arbitrate a dispute that he or she has not agreed to resolve by arbitration. *Buckner v. Tamarin* (2002) 98 Cal. App. 4th 140, 142; *Benasra v. Marciano* (2001) 92 Cal. App. 4th 987, 990 (“The strong public policy in favor of arbitration does not extend to those who are not parties to an arbitration agreement, and a party cannot be compelled to arbitrate a dispute that he has not agreed to resolve by arbitration”).

Discussion

Defendant has shown, and Plaintiff does not dispute, the existence of an arbitration agreement. [Gorden Decl. (ROA #31), ¶ 7; Motion MPA, Ex. A.]

The question is whether the arbitration agreement applies to Plaintiff's claims or is enforceable here given Plaintiff's claim for sexual harassment.

The EFAA is codified at 9 USC § 402. It states:

Notwithstanding any other provision of this title, at the election of the person alleging conduct constituting a sexual harassment dispute or sexual assault dispute, or the named representative of a class or in a collective action alleging such conduct, no predispute arbitration agreement or predispute joint-action waiver shall be valid or enforceable with respect to a case which is filed under Federal, Tribal, or State law and relates to the sexual assault dispute or the sexual harassment dispute. (9 U.S.C.A. § 402(a).)

The EFAA applies "with respect to any dispute or claim that arises or accrues on or after the date of enactment of this Act"; and it became effective on March 3, 2022. *Cornelius v. CVS Pharmacy Inc.* (3d Cir. 2025) 133 F.4th 240, 245–246, (citing Ending Forced Arbitration of Sexual Assault and Sexual Harassment Act of 2021, Pub. L. 117-90, § 3, 136 Stat. 26, 28). California (and federal) courts have construed the EFAA to apply "where a plaintiff alleges a course of sexually harassing conduct that occurs both before and after the EFAA's enactment" (i.e., a "continuing violation"); and, that is makes the arbitration agreement unenforceable as to all causes of action that "relate to" the sexual harassment dispute, not just the claims that arise out of sexual harassment allegations. *Doe v. Second Street Corp.* (2024) 105 Cal.App.5th 552, 571, 577.

In its moving papers, Defendants contends that the EEFA does not apply here (and Plaintiff's claims are not carved out under the terms of the arbitration agreement) because, according to Defendant, "the facts contained within the Amended Complaint do not constitute sexual harassment." [Motion MPA at 11:5-6 *et seq.*] Plaintiff disputes this in opposition. [Opp. (ROA #43) at 3-4, 8-9.] Defendant has filed no reply.

"The merits of a claim cannot be considered in determining its arbitrability." Cal. Practice Guide: Alternative Dispute Resolution (The Rutter Group 2022) Chapter 5-E, ¶5:225. Additionally, "in deciding whether the parties have agreed to submit a particular grievance to arbitration, a court is not to rule on the potential merits of the underlying claims." *AT&T Technologies, Inc. v. Communications Workers of America* (1986) 475 U.S. 643, 649-650.

Moreover, “sexual harassment dispute” is defined by the act as including “a dispute relating to conduct that is *alleged* to constitute sexual harassment under applicable Federal, Tribal, or State laws.” 9 U.S.C. §401. Similarly, the exemption articulated in the EFAA applies “at the election of the person *alleging* conduct constituting a sexual harassment dispute or sexual assault dispute...” 9 U.S.C. §402.

The Court in *Yost v. Everyrealm, Inc.* (S.D.N.Y. 2023) 657 F.Supp.3d 563, held that “the EFAA is triggered by a complaint that plausibly pleads a claim of sexual harassment.” *Id.* at 583. In referencing “plausibility” the court in *Yost* invoked the standard under Federal Rule of Civil Procedure, Rule 12(b)(6), which is similar to the standard on demurrer: “To survive a motion to dismiss under Rule 12(b)(6), a complaint must plead ‘enough facts to state a claim to relief that is plausible on its face.’” *Id.* at 577. “A claim is facially plausible ‘when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.’” (*Id.*) “A complaint is properly dismissed where, as a matter of law, ‘the allegations in a complaint, however, true, could not raise a claim of entitlement to relief.’” *Id.*

Other District Courts, however, have found that the plaintiff’s burden is lighter. That is, a plaintiff need not state a *cause of action* for sexual harassment but need *only allege conduct* that constitutes sexual harassment:

Thus, to invoke the EFAA, a person subject to an arbitration agreement must allege (1) a dispute; (2) conduct and that such conduct, if established, constitutes sexual harassment pursuant to an applicable Federal, Tribal, or State law; and (3) that the dispute relates to such conduct.¹² The alleged conduct need not ultimately be found to actually constitute sexual harassment so long as the plaintiff alleges that the conduct constitutes sexual harassment.

Diaz-Roa v. Hermes Law, P.C. (S.D.N.Y. 2024) 757 F.Supp.3d 498, 536–537.

For the EFAA to be applicable, the Court must first determine whether Plaintiff’s allegations may invoke the EFAA. “[D]istrict courts in and outside the Ninth Circuit disagree as to the appropriate standard for determining ‘the allegations that are necessary to invoke the EFAA in the first place and to determine whether the statute is applicable to the case.’” *Halle Van De Hey, Plaintiff, v. Epam Sys. Inc.*, 2025 WL 829604, at *3 (N.D.

Cal. Feb. 28, 2025) (quoting *Diaz-Roa v. Hermes L., P.C.*, 757 F.Supp.3d 498, 533 (S.D.N.Y. 2024)). **Several district courts have read a “plausibility requirement into the EFAA that is not explicit in the statutory text.”** *Gill v. US Data Mgmt., LLC*, 2024 WL 5402494, at *3 (C.D. Cal. Dec. 2, 2024) (citing *Yost v. Everyrealm, Inc.*, 657 F. Supp. 3d 563, 585 (S.D.N.Y. 2023)). **Other district courts have rejected a plausibility requirement and instead held that a plaintiff need only plead nonfrivolous claims relating to sexual assault or sexual harassment.** *See, e.g., Diaz-Roa v. Hermes L., P.C.*, 757 F.Supp.3d at 533; *Solis v. Prime Comms Retail, LLC*, 2025 WL 1255143, at *2 (C.D. Cal. Apr. 7, 2025). In those cases, district courts were persuaded by the reasoning of *Diaz-Roa v. Hermes Law, P.C.*, which “persuasively highlights the dubiousness of adjudicating the plausibility of a sexual harassment claim upon a motion to compel arbitration, which is designed to test adjudicative capacity, not the merits or proper pleading of claims.” *Gill*, 2024 WL 5402494, at *3 (citing *Diaz-Roa*, 757 F.Supp.3d at 533–543).

Brown v. Lululemon USA Inc. (C.D. Cal., Jan. 28, 2026, No. 2:25-CV-09629-WLH-AGR) 2026 WL 458644, at *3 (bold added).

Ultimately, this court need not decide which standard applies because Plaintiff’s allegations meet both insofar as she does allege a cause of action for sexual harassment/hostile work environment. *Owens v. PriceWaterHouseCoopers LLC* (S.D.N.Y. 2025) 786 F.Supp.3d 831, 842 (“Because, as discussed below, the Court finds that Owens plausibly pleads sexual harassment under the NYCHRL, the Court need not weigh in on whether the appropriate standard in EFAA cases is the higher 12(b)(6) standard or Judge Liman’s allegation standard. *See Brazzano*, 2025 WL 963114, at *7 (“[T]he question of whether the predominant view or Judge Liman’s less stringent threshold is correct is irrelevant here: at least one of Brazzano’s sexual harassment claims are plausible under *Twombly* and *Iqbal*.”)).

An employee may establish an actionable claim of sexual harassment under the FEHA by demonstrating that widespread sexual favoritism was severe or pervasive enough to alter his or her working conditions and create a hostile work environment. *Miller v. Department of Corrections* (2005) 36 Cal.4th 446, 466. *See also* CACI 2521C.

		Plaintiff has alleged a romantic relationship between her superior and a new hire that resulted in favoritism severe and pervasive enough to result in retaliation against several other employees including Plaintiff when they complained about or did not cooperate with efforts to promote the new hire beyond her qualifications, which resulting in termination of those employees. Prior to her own termination, Plaintiff found the work environment created by these actions to be intimidating, oppressive, and abusive. The combination of sexual favoritism, retaliatory terminations, and Defendant's failure to act made the harassment and hostility severe and pervasive throughout the workplace. This conduct unreasonably interfered with Plaintiff's work performance and created a work environment that was intimidating, oppressive, and abusive within the meaning of Government Code §12940(j). [FAC, ¶ 35.] This is sufficient to allege a cause of action for sexual harassment. Accordingly, the motion to compel arbitration is denied.
9.	2026-1545921 King Shin Ship Management Co. vs. Beyond Loan 1 LLC	Defendants Beyond Loan 1, LLC and Beyond Liquidity, LLC's unopposed motion to compel arbitration and stay all proceedings is granted. The Federal Arbitration Act (FAA) provides that a "written provision in any . . . contract evidencing a transaction involving commerce to settle by arbitration a controversy thereafter arising out of such contract or transaction, or the refusal to perform the whole or any part thereof . . . shall be valid, irrevocable and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract." (9 U.S.C. § 2.) "The 'principal purpose' of the FAA is to 'ensur[e] that private arbitration agreements are enforced according to their terms.'" (<i>Lacayo v. Catalina Restaurant Group Inc.</i> (2019) 38 Cal.App.5th 244, 257, citing <i>AT&T Mobility LLC v. Concepcion</i> (2011) 563 U.S. 333, 344, 131 S.Ct. 1740.) "California law, like federal law, favors enforcement of valid arbitration agreements." (<i>Baxter v. Genworth North America Corp.</i> (2017) 16 Cal.App.5th 713, 721, citation omitted.) Arbitrations provisions are to be interpreted broadly and "should be upheld unless it can be said with assurance that an arbitration clause is not susceptible to an interpretation covering the asserted dispute." (<i>EFund Capital Partners v. Pless</i> (2007) 150 Cal.App.4th 1311, 1321, citations omitted.) "A party seeking to compel arbitration under CCP section 1281.2 must plead and prove (1) the existence of a written arbitration agreement and (2) that the other party has refused to arbitrate.